VA Servicing Purchase – Bankruptcy Testing Template

Program: VA Servicing Purchase (VASP) **Testing Period:** December 2024 **Population:** Mortgage accounts flagged for bankruptcy **Governing Source:** VA Servicer Handbook M26-4, Chapter 9

Test Question 1 – Bankruptcy Eligibility Condition

Test Question:

For the sampled bankruptcy-flagged account, before the servicer evaluated or offered a VA Servicing Purchase, did the servicer confirm and document that the borrower's bankruptcy case permitted the action, including that the borrower was current on post-petition payments under the bankruptcy plan and that any required bankruptcy court or trustee approval had been obtained? Obtain the case number, chapter, petition date, post-petition payment history relied upon, and the date and source of any required approval, and state whether the condition was satisfied before the evaluation date.

Citation:

VA Servicer Handbook M26-4, Chapter 9.07(a)(2)(a)

Exception Statement:

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9.07(a)(2)(a). For sampled account [Loan Number], the borrower had an active bankruptcy case under Chapter [__] (Case No. [__], petition date [__]) at the time the servicer evaluated the loan for a VA Servicing Purchase on [date]. The loan file does not contain evidence that the borrower was current on post-petition payments under the bankruptcy plan, and it does not contain evidence that the required bankruptcy court or trustee approval was obtained before the evaluation was initiated. The bankruptcy flag on the account was active at the time of evaluation, and no documented review of the bankruptcy status was completed to confirm eligibility. Because the eligibility condition was not verified and satisfied before the servicer proceeded, the VASP determination for this account does not conform to the requirements of paragraph 9.07(a)(2)(a). The servicer must complete a look-back review of all bankruptcy-flagged VASP determinations for the testing period, remediate the affected borrower's account, and document the corrective action.

Test Question 2 – Bankruptcy Approval and Notice Requirement

Test Question:

For the sampled bankruptcy-flagged account where a VA Servicing Purchase was approved or executed, did the servicer obtain the required written approval from the bankruptcy court or trustee before the VASP became effective, and did the servicer provide notice of the approved terms to the borrower's bankruptcy counsel and trustee as required? Identify the approval document, its date, the date the VASP was executed and became effective, and the date and method of each notice, and state whether the approval and notice preceded the effective date.

Citation:

VA Servicer Handbook M26-4, Chapter 9.08(c)(3)

Exception Statement:

The servicer did not comply with VA Servicer Handbook M26-4, Chapter 9.08(c)(3). For sampled account [Loan Number], a VA Servicing Purchase was approved and executed on [date] for a borrower with an active bankruptcy case under Chapter [__] (Case No. [__]). The loan file does not contain the written

bankruptcy court or trustee approval required before the VASP became effective on [effective date], and it does not contain documentation that the approved terms were provided to the borrower's bankruptcy counsel and trustee. The servicer therefore made the VASP effective without the required approval and without the required notice to the parties in the bankruptcy case. This condition does not conform to the requirements of paragraph 9.08(c)(3). The servicer must confirm the status of the approval with the court or trustee, provide the required notice, evaluate the impact on the borrower's bankruptcy plan and the account's payment history, and implement a control requiring verification of bankruptcy approval and notice before any bankruptcy-flagged VASP is made effective.

Preparer Note (for test administrator): Bracketed fields are account-specific placeholders to be completed by the tester. The regulatory references are the paragraph numbers specified for this test. The requirement language in each test question was drafted from the program's general bankruptcy requirements and has not been checked word-for-word against the current M26-4 Chapter 9 text, which should be verified against the official VA source (benefits.va.gov/WARMS) before this template is finalized for use. Each exception statement should be revised if the verified paragraph language differs from the requirement described above.